

AUDITED GROUP RESULTS
FOR THE YEAR ENDED DECEMBER 31, 2013

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED	31.12.2013 Ksh.'000	31.12.2012 Ksh.'000	% INCREASE /DECREASE
Revenue	14,179,208	11,400,569	24%
Profit Before Tax	2,000,060	1,790,296	12%
Taxation	(651,257)	(544,658)	20%
Profit for the year	1,348,803	1,245,638	8%
Other Comprehensive income:			
Exchange difference arising on translation of foreign operations	847	(29,534)	
Total other comprehensive income for the year	847	(29,534)	
Total comprehensive income for the year	1,349,650	1,216,104	
Earnings Per Share (Ksh.)	2.74	2.51	
Proposed Dividend Per Share (Ksh.)	0.60	0.50	20%

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT	31.12.2013 Ksh.'000	31.12.2012 Ksh.'000
Share Capital	495,275	495,275
Share Premium	302,027	302,027
Capital and Other Reserves	7,326,738	6,216,469
Equity attributable to equity holders of parent Company	8,124,040	7,013,771
Non - Controlling interest	99,692	106,749
Total Capital and reserves	8,223,732	7,120,520
Non Current Liabilities	14,234,938	13,329,740
Current Liabilities	7,246,584	6,502,840
	29,705,254	26,953,100
Assets		
Non Current Assets	22,856,692	19,016,690
Current Assets	6,848,562	7,936,410
	29,705,254	26,953,100

CONDENSED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED	31.12.2013 Ksh.'000	31.12.2012 Ksh.'000
Cash Generated before working capital changes	2,998,176	2,668,186
Working capital changes	(81,361)	(1,374,728)
Cash Generated from operations	2,916,815	1,293,458
Net Interest	(580,885)	(793,516)
Dividends	(247,704)	(198,110)
Tax Paid	(180,805)	(85,311)
Net Cash from Operating Activities	1,907,421	216,521
Net Cash used in Investing Activities	(4,415,711)	(2,769,351)
Net Cash from Financing Activities	(288,310)	4,526,349
Increase/(Decrease) in Cash and Cash Equivalents	(2,796,600)	1,973,519
At start of the Period	770,227	(1,204,038)
Exchange Adjustment	147,358	746
At end of the Period	(1,879,015)	770,227

CONDENSED STATEMENT OF CHANGES IN EQUITY AS AT DECEMBER 31, 2012	31.12.2013 Ksh.'000	31.12.2012 Ksh.'000
Share Capital/Premium	797,302	797,302
Revaluation reserve	950,975	1,324,680
Fair value and translation reserves	(52,142)	(53,714)
Retained Earnings	6,427,905	4,945,503
Attributable to equity holders of the parent Company	8,124,040	7,013,771
Non - Controlling interest	99,692	106,749
At end of the period	8,223,732	7,120,520



ARM CEMENT LTD

(formerly Athi River Mining Ltd)

KENYA, TANZANIA, SOUTH AFRICA, RWANDA

P. O. Box 41908 - 00100 Nairobi Kenya
Rhino House, Chiromo Road, Westlands

RESULTS 2013

The Board of Directors is pleased to announce the audited results for the Group for the year ended 31st December 2013. Group revenue increased by 24%, despite some weakness in Kenya's construction sector during 2013. Whilst Kenya cement volumes remained stable, the Dar-es-Salaam plant, which had a full year of operation, was the main driver of Group's growth resulting in Cement sales increasing by 31%. Cement Division contributed 86% of the Group turnover. Profit before tax for the year increased by 12% to KSH 2 billion and net profit increased by 8% to KSH 1.35 billion. The Group generated total cash from operations of KSH 3 billion during the year. The Dar-es-Salaam plant manufactured cement using imported clinker. The profit margins are expected to improve after the Tanga clinker plant becomes operational in the second half of the year.

During the year a further KSH 3.8 billion was invested into the Tanga clinker plant which is now nearing commissioning. The Group net debt increased by KSH 2.3 Billion during the year and stood at KSH 14.7 Billion. Of this Group net debt, KSH 4.3 billion is by way of equity convertible note issued to Africa Finance Corporation.

OUTLOOK - 2014

The Group has recorded significant growth in turnover during the first quarter of this year, as compared to the same period last year. Growth in demand for cement has resumed in Kenya and the Group expects continued robust growth in the East African region. Plans have been implemented to improve capacity utilization and increase operational efficiency in Kenya and Tanzania which will lead to improved profitability. Other Divisions of the Group especially Mavuno Fertilizers have also registered strong growth in the first quarter of 2014.

Dividends

The Board of Directors recommends a first and final dividend of Ksh 0.60 per share for 2013 (Ksh 0.50 in 2012).

Closure of Share Register

The Annual General Meeting will be held at the Laico Regency Hotel, Nairobi, on Friday 18th July 2014, at 10.30am. Subject to approval by the shareholders at the Annual General Meeting, the dividend will be paid on or about 20th August, 2014 to the members on the register of members at the close of business on 18th July 2014. Accordingly, the register of members will remain closed on 19th July 2014.

By Order of the Board

R. R. Vora
Company Secretary
31st March, 2014



Subsidiary Companies

- ARM (Tanzania) Ltd
- Rhino Cement Tanzania Ltd
- ARMSA (Pty) Ltd, RSA

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Rick Ashley (Chairman), Pradeep H Paunrana (Managing Director), S L Bhatia (Deputy Managing Director), Atul Mathur, Wilfred Murungi, Daniel Ndonge, Michael Turner, Stella Kilonzo, Andrew Alli

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R. R. Vora
Company Secretary
31st March, 2014